

KINGDOM OF CAMBODIA
NATION – RELIGION – KING



NON-BANK FINANCIAL SERVICES AUTHORITY

No.024 FSA.BrK

PRAKAS
ON
CONDITIONS AND PROCEDURES OF INSURANCE BUSINESS LICENSING

Deputy Prime Minister, Minister of Economy and Finance
and as the Chairman of Non-Bank Financial Services Authority

- Having seen the Constitution of the Kingdom of Cambodia;
- Having seen Royal Kret No. NS/RKT/0918/903 dated September 6, 2018, concerning the Nomination of the Royal Government of the Kingdom of Cambodia;
- Having seen Royal Kret No. NS/RKT/0320/421 dated March 30, 2020, concerning the Nomination and Adjustment of the Composition of the Royal Government of Kingdom of Cambodia;
- Having seen Royal Kram No. NS/RKM/0618/012 dated June 28, 2018, promulgating the Law on the Organization and Functioning of the Council of Ministers;
- Having seen Royal Kram No. NS/RKM/0196/18 dated January 24, 1996, promulgating the Law on the Establishment of the Ministry of Economy and Finance;
- Having seen Royal Kram No. NS/RKM/0121/003 dated January 16, 2021, promulgating the Law on the Organization and Functioning of Non-Bank Financial Services Authority;
- Having seen Royal Kram No. NS/RKM/0814/021 dated August 4, 2014, promulgating the Law on Insurance;
- Having seen Sub-Decree No. 275 ANKr. BK dated December 30, 2021, concerning the Insurance;
- Having seen Sub-Decree No. 113 ANKr. BK dated July 14, 2021, concerning the Organization and Functioning of Units under the Auspices of the Non-Bank Financial Services Authority;
- As per the necessity of Insurance Regulator of Cambodia;

HEREBY DECIDES

Chapter 1

General Provisions

Article 1 ..

This Prakas aims to determine the conditions and procedures for the issuance and renewal of insurance business licenses and certificates to ensure the effective management of insurance business activities in the Kingdom of Cambodia.

Article 2 ..

This Prakas is applicable to all general insurance business activities and all life insurance business activities throughout the Kingdom of Cambodia, except micro-insurance business activities which is stated by separate regulations.

Article 3 ..

Terminologies used in this Prakas are defined as follows:

- **Insurance Company** refers to General Insurance Company, Life Insurance Company and Foreign Insurance Company Branch
- **General Insurance Company** refers to a permitted entity that conducts insurance business to cover the risks upon property, liability and health
- **Life Insurance Company** refers to a permitted entity that conducts insurance business to insure on death or livelihood, which may include personal accident, critical illness, or general illness
- **Foreign Insurance Company Branch** refers to a branch of foreign insurance company that is registered under the law of a foreign country and doing business in the Kingdom of Cambodia. Foreign Insurance Company Branch is the agent of their principals and do not have legal personality separate from their principals
- **Local Insurance Company Branch** refers to local business branch of insurance company licensed to conduct business in the Kingdom of Cambodia
- **Permitted Entity** refers to a legal entity that is registered under the Law of the Kingdom of Cambodia
- **Chief Executive Officer** refers to person with the highest executive level in the company and is appointed by the board of directors to manage the company's business operations
- **Applicant** refers to a natural person or legal person that applies for principle approval for conducting general insurance business or life insurance business or branch of foreign insurance business
- **A Public Limited Company** refers to a form of Limited Company that is authorized by the Law on Commercial Enterprises to issue securities to the public.

Chapter 2

Competent Authority

Article 4 ..

Insurance Regulator of Cambodia, abbreviated as “**IRC**” has the competence to issue and renew the validity of insurance business license and certificate of local insurance company branch in order to conduct the insurance business activities in the Kingdom of Cambodia.

Chapter 3
Conditions and Procedures
for Issuance and Renewal of Insurance Business License and Certificate

Section 1
The Issuance and Renewal of Insurance Business License

Article 5 ..

Any person who aims to conduct insurance business as a company or branch of a foreign company shall apply for insurance business license to the **IRC** following the basic conditions as below:

- be a permitted entity;
- be in the form of Public Limited Company;
- have at least 2 (two) shareholders as natural persons;
- have minimum capital in Riel equivalent to 5,000,000 (five million) SDR as per prevailing rate at the issuance of the license;
- have a business guarantee deposit in equivalent to 10 (ten) percent of the minimum capital;
- have professional skill in insurance.

Article 6 ..

As the first step, before applying for a license, a person shall apply for principle approval for conducting business as a general insurance company or life insurance company or foreign insurance company branch by attaching the required documents as below:

- the application for principle approval for conducting business as a general insurance company or life insurance company or foreign insurance company branch;
- the receipt of administrative fee;
- the document of feasibility study on the Cambodian insurance market;
- the 5 (five) -years business plan;
- the draft statute of the company that will be established;
- A copy of shareholder's identification:
 - for shareholder as a natural person shall provide a passport or ID Card
 - for shareholder as a legal entity shall provide legal business document and head office address;
- A copy of the identification and qualifications of the person to be appointed as chairman of the board of director and director, including a passport or ID card, a resume on work experience and study attached with a degree or professional certificate;
- the proof of reserved company name at the Ministry of Commerce;
- In the case of a subsidiary or foreign insurance company branch, the additional documents shall be provided as below:
 - A copy and certified by the notary of approval letter or business license of the parent company or the principal issued by the competent authority of the country of origin, in case the parent company or the principal is an insurance company;
 - A copy and certified by the notary of decision of the board of directors of the parent company or the principal authorizing to conduct the insurance business in the Kingdom of Cambodia;

- A copy and certified by the notary of approval letter of the competent authority of the country of origin to conduct insurance business in the Kingdom of Cambodia;
- A copy with the company seal of documents about the background and structure of the parent company or the principal;
- A copy with the company seal of audited financial statements of the parent company or the principal for the last 5 (five) years;
- the document about rating of the parent company or the principal evaluated by the international rating agency (if any);
- A copy of final inspection report of the regulator of the country of origin (if any).

After reviewing and evaluating the above required documents, the **IRC** has the right to issue a principle approval or reject the application within 60 (sixty) days from the date of receipt of sufficient documents. The **IRC** provide this principle approval to the applicant for business registration with the Ministry of Commerce and continue with other procedures as necessary.

Article 7 ..

After obtaining the principle approval for conducting general insurance business or life insurance business or a foreign insurance company business branch and have registered business in accordance with the law of Kingdom of Cambodia, the insurance company shall apply for general insurance company business license or life insurance company business license or foreign insurance company business branch by attaching the required documents as below:

- the application for general insurance company business license or life insurance company business license or foreign insurance company business branch signed by the chairman of the board of directors or the authorized director from the board;
- the company's declaration form completed and signed by the chairman of the board of directors or the authorized director from the board in the form prescribed by the Director General of the Insurance Regulator of Cambodia;
- A copy with the company seal of principle approval to conduct general insurance business or life insurance business or foreign insurance company business branch;
- the receipt of administrative fee;
- the receipt of license fee;
- A copy with the company seal of company's memorandum of association and business registration certificate of a company in the form of a Public Limited Company;
- the documents on the structure and composition of the management team with the company seal;
- the document on Underwriting Policy approved by board of directors with the company seal;
- the document on Claim Policy approved by board of directors with the company seal;
- the document on Risk Management Policy approved by board of directors with the company seal;
- the document on Corporate Governance Policy approved by board of directors with the company seal;
- the document on Complaint and Dispute Settlement Policy approved by board of directors with the company seal;
- the document on Accounting and Finance Policy approved by board of directors with the company seal;
- the document on Anti-money Laundering and Combating the Financing of Terrorism and Combating the Financing of Proliferation of Weapons of Mass Destruction Policy approved by board of directors with the company seal;

- A copy with the company seal of document on company bank account stating the minimum capital amount equivalent to 5,000,000 (five million) SDR;
- A copy with the company seal of document on company bank account proving the solvency of 50 (fifty) percent of the minimum capital;
- A copy with the company seal of document on business guarantee deposit in equivalent to 10 (ten) percent of the minimum capital;
- A copy with the company seal of patent or patent tax receipt;
- the contract of leasing or title deed which legalized by the local authority;
- A copy with the company seal of documents on the identification and qualifications of the person to be appointed as the chief executive officer such as passport or ID card, a resume on work experience and study with a degree or professional certificate;
- A copy with the company seal of documents on the identification and qualifications of the person to be appointed as the actuary such as passport or ID card, a resume on work experience and study with a degree or actuary certification;
- An original or a copy certified by notary of criminal record letter of the chief executive officer and the actuary.

After reviewing and evaluating the above required documents, the **IRC** has the right to issue a license or reject the application within 30 (thirty) days from the date of receiving sufficient documents.

Article 8 ..

Insurance company operating in the Kingdom of Cambodia shall request to renew the validity of general insurance company business license or life insurance company business license in order to obtain a new permanently valid license from the **IRC** before 30 (thirty) of business days of the expiration date of the license by attaching the required documents as below:

- the request letter for general insurance company business license or life insurance company business license renewal signed by chairman of the board of directors or the authorized director from the board;
- the company's declaration form completed and signed by chairman of the board of directors or the authorized director from the board in the form prescribed by the Director General of the Insurance Regulator of Cambodia;
- the receipt of administrative fee;
- the receipt of license fee;
- the original general insurance business license or life insurance business license;
- A copy with the company seal of the latest patent or patent tax receipt.

Article 9 ..

In case the insurance company operating in the Kingdom of Cambodia does not apply for renewing business licensing after the expiration date of the license, the company is considered to be operating the insurance business without the license.

Section 2 The Issuance and Renewal of Certificates of Local Insurance Company Branch

Article 10 ..

Insurance company aims to establish a local insurance company branch shall apply for the certificate of local insurance company branch from the **IRC**.

Article 11 ..

As the first step, before applying for certificate of local insurance company branch, the principal shall apply for principle approval to establish local general insurance company branch or local life insurance company branch by attaching the required documents as below:

- the request letter for principle approval to establish local general insurance company branch or local life insurance company branch;
- the receipt of administrative fee;
- the original document or a copy certified by notary of the decision of the board of directors
- the 5 (five) -years business plan of the branch signed by the director and has a company seal
- the documents on the structure, functions and roles of the branch signed by the director and has a company seal.

After reviewing and evaluating the above required documents, the **IRC** has the right to issue a principle approval or reject the application within 25 (twenty-five) days from the date of receipt of sufficient documents. The **IRC** provides this principle approval to the principal for registration of local branch establishment with the Ministry of Commerce and to proceed with other procedures as necessary.

Article 12 ..

After obtaining a principle approval to establish local general insurance company branch or life insurance company branch and has registered as local branch in accordance with the law of Kingdom of Cambodia, the principal shall apply for certificate of local general insurance company branch or local life insurance company branch by attaching the required documents as below:

- the request letter for certificate of local general insurance company branch or life insurance company branch;
- the receipt of administrative fee;
- the receipt of certificate fee;
- A copy with company seal of patent or patent tax receipt;
- the contract of leasing or title deed which legalized by local authority;
- A copy with company seal of the documents of local company branch registration at the Ministry of Commerce;
- A copy with company seal of the documents of identification and qualifications of the person to be appointed as the branch manager such as passport or ID card, a resume on work experience and study with a degree or professional certificate;
- An original or a copy certified by notary of the letter of criminal record of the branch manager.

After reviewing and evaluating the above required documents, the **IRC** has the right to issue a certificate or reject the application within 20 (twenty) days from the date of receiving sufficient documents.

Article 13 ..

Insurance company shall request for renewing the certificate of local insurance company branch from the **IRC** before 30 (thirty) of business days of the expiration date of the certificate by attaching the required documents as below:

- the request letter for renewing certificate of local general insurance company branch or local life insurance company branch;
- the receipt of administrative fee;
- the receipt of certificate fee;
- the original certificate of local general insurance company branch or local life insurance company branch;
- A copy with company seal of the latest patent or patent tax receipt.

After reviewing and evaluating the above required documents, the **IRC** has the right to renew a certificate or reject the application within 30 (thirty) days from the date of receiving sufficient documents.

Article 14 ..

In case the insurance company does not request for renewing the certificate of local insurance company branch after the expiration date of the certificate, the local branch is considered to be operating the insurance business without the certificate.

Section 3

The Validity of Insurance Business License and Certificate

Article 15 ..

The license of general insurance company business, the license of life insurance company business and the license of the foreign insurance company business branch are permanently valid and the insurance company have to pay the license fee every year. This license cannot be transferred or sold.

Article 16 ..

The certificate of local insurance company branch is valid for 5 (five) years. This certificate cannot be transferred or sold.

Article 17 ..

Insurance company and local insurance company branch that do not start insurance business within 6 (six) months from the date of obtaining the license or certificate, the license or certificate will automatically expire unless authorized from the **IRC**.

Chapter 4

Fees and other expenses

Article 18 ..

All the fee of administrative, license, certificate, fine and other expenses shall be paid into account of the **IRC**.

Section 1

Administrative Fees

Article 19 ..

The applicants and insurance company shall pay the administrative fees as follows:

- service on reviewing documents applying for principle approval to conduct general insurance company business or life insurance company business or foreign insurance company business branch is charged for 10 000 000 (ten million) riels
- service on reviewing documents applying for general insurance company business or life insurance company business or foreign insurance company business branch is charged for 10 000 000 (ten million) riels.

Article 20 ..

General insurance company and life insurance company intent to establish local general insurance company branch or local life insurance company branch shall pay for administrative fees as follows:

- service on reviewing documents applying for principle approval to conduct local general insurance company branch or local life insurance company branch is charged for 500 000 (five hundred thousand) riels
- service on reviewing documents applying for certificate of local general insurance company branch or local life insurance company branch is charged for 500 000 (five hundred thousand) riels
- service on reviewing documents applying for renewal of certificate of local general insurance company branch or local life insurance company branch is charged for 500 000 (five hundred thousand) riels.

Article 21 ..

General insurance company and life insurance company operating in the Kingdom of Cambodia shall pay for administrative fees as follows:

- service on reviewing documents applying for renewal of general insurance company business license or life insurance company business license in order to obtain a new permanently valid license is charged for 2 000 000 (two million) riels
- service on reviewing documents applying for renewal of certificate of local general insurance company branch or local life insurance company branch in order to obtain a new validation certificate for 5 (five) years is charged for 500 000 (five hundred thousand) riels.

Article 22 ..

The administrative fees for reviewing documents service that comply with this Prakas shall be non-refundable, even though the application has been reject.

Section 2

License and Certificate Fees

Article 23 ..

The license fee of general insurance company business or life insurance company business or foreign insurance company business branch for the first-year is 120 000 000 (one hundred twenty million) riels. Annual license fee is 40 000 000 (forty million) riels for the following year, which the companies have to pay annually before January 7th of the business operation year.

Article 24 ..

General insurance company and life insurance company operating in the Kingdom of Cambodia are not required to pay for the first-year license fee, however the company shall pay for annual license fee which is 40 000 000 (forty million) riels before January 7th of the business operation year.

Article 25 ..

The fee of local general insurance company branch certificate and local life insurance company branch certificate that valid for 5 (five) years is 25 000 000 (twenty-five million) riels.

Section 3

Other Expenses

Article 26 ..

The insurance company shall pay a monthly contribution of 0.5 (zero-five) percent of gross premium into the **IRC**'s account prior to the 15th day of the next month, to support the operation of the **IRC**.

Chapter 5

Penalties

Article 27 ..

Insurance company and local insurance company branch that do not comply with the provisions of this Prakas shall be subject to administrative measures from the **IRC** as following:

- Warning
- Guidance
- Restrictions on License/ Certificate/ Principle Approval
- Withdrawal of License/ Certificate/ Principle Approval
- Restrictions on the insurance business activities.

Article 28 ..

General insurance companies or life insurance companies that do not request for license renewal before 30 (thirty) of business days of the expiration date of the license as stipulated in article 8 of this Prakas shall be subject to the administrative measures as stipulated in article 27 of this Prakas and/or are fined from 10 000 000 (ten million) riels to 50 000 000 (fifty million) riels by the **IRC**.

Article 29 ..

General insurance companies or life insurance companies that do not request for renewing certificate of local general insurance company branch or local life insurance company branch before 30 (thirty) of business days of the expiration date of the certificate as stipulated in article 13 of this Prakas shall be subject to the administrative measures as stipulated in article 27 of this Prakas and/or are fined from 5 000 000 (five million) riels to 25 000 000 (twenty-five million) riels by the **IRC**.

In the case of continued committing violations, the companies shall be fined in the twice amount of the previous fine and/or to be subject to the disciplinary sanctions as stated in insurance law.

Article 30 ..

General insurance companies or life insurance companies that do not apply for renewing the license and/or certificate of local general insurance company branch or local life insurance company branch after the expiration date of the license and/or certificate as stipulated in article 9 and article 14 of this Prakas shall be punished according to the insurance law and shall urgently apply for renewing the license and/or certificate in 30 (thirty) days after the expiration date of the license and/or certificate.

Article 31 ..

Insurance companies that have not paid the annual license fee as stated due date in article 23 and article 24 of this Prakas shall be subject to the administrative measures as stipulated in article 27 of this Prakas and/or are fined from 4 000 000 (four million) riels to 20 000 000 (twenty million) riels by the **IRC**.

In the case of late more than 7 (seven) days of the due date as stipulated in article 23 and article 24 of this Prakas, shall be considered as operating the insurance business without license and shall be punished according to the insurance law.

In the case of continued committing violations, the companies shall be fined in the twice amount of the previous fine and/or to be subject to the disciplinary sanctions as stated in insurance law.

Article 32 ..

Insurance companies that have not paid the monthly contribution as stated due date in article 26 of this Prakas shall be subject to the administrative measures as stipulated in article 27 of this Prakas and/or are fined from 2 000 000 (two million) riels to 8 000 000 (eight million) riels by the **IRC**.

In the case of late more than 7 (seven) days of the due date as stipulated in article 26 of this Prakas, shall be fined in the twice amount of the previous fine and/or to be subject to the disciplinary sanctions as stated in the insurance law.

In the case of continued committing violations, the companies shall be fined in the twice amount of the previous fine and/or to be subject to the disciplinary sanctions as stated in insurance law.

Article 33 ..

Provision of Single Chapter (General Provision) of the Title 1 (General Provision) and Single Chapter (Physical Punishment) of Title 3 (Physical Punishment) of Book 8 of Criminal Procedure Code shall be complied in case decision of fine is effective.

Article 34 ..

Individuals who are directly influenced by the decision of the **IRC** as stated in this chapter may complain in line with the procedures as stated in insurance law.

Article 35 ..

Administrative measures and fines as stated in this chapter do not prevent the implementation of the criminal law in force and other indemnity.

Chapter 6 Transitional Provision

Article 36 ..

The general insurance company business license or life insurance company business license or foreign insurance company business branch, certificate and approval letter which provided to the companies complied with Prakas No. 098 SHV dated January 17th, 2007 concerning The Issuance of General or Life Insurance Company License, shall be valid until the

expiration of those general insurance company business license or life insurance company business license or foreign insurance company business branch, certificate and approval letter.

Chapter 7

Final Provisions

Article 37 ..

Director General of the **IRC** may issue guidelines in compliance with the insurance law, sub-decree on insurance and this Prakas to facilitate understanding and implementation of this Prakas.

Article 38 ..

Prakas N.098 SHV dated January 17th, 2007 concerning The Issuance of General or Life Insurance Company License and any provisions contrary to this Prakas shall be abrogated.

Article 39 ..

Director General of the **IRC**, Director of Licensing and Legal Affairs Department and all directors under control of the **IRC** and relevant people shall be in charge of implementing this Prakas respectively from date that this Prakas is signed.

Phnom Penh, 31st May 2022

Deputy Prime Minister

Minister of Economy and Finance

and as the Chairman of Non-Bank Financial Services Authority

Signed

Akka Bandit Sapheacha Aun Pornmoniroth

Place to receive:

- Office of the Council of Ministers
- Ministry of Economy and Finance
- National Bank of Cambodia
- Cabinet of Samdech Akka Moha Sena Padei Techo **Hun Sen**
Prime Minister of Cambodia
- Ministry of Commerce
- Ministry of Justice
- Cabinet of Samdech, His Excellency, Her Excellency, Deputy Prime Minister
- His Excellency and Her Excellency as vice chairman and members of the Council
of Non-Bank Financial Services Authority
"For information"
- As in article 39
"For Enforcing"
- Royal Gazette
- Chronological documents